

TABLE 5—DISCONTINUITIES IN COLLEGE ENROLLMENT AND STUDENT PERSISTENCE RATES AT THE 1,500 EUROS ALLOWANCE ELIGIBILITY CUTOFF, FIRST-YEAR UNDERGRADUATE AND GRADUATE APPLICANTS

Sample:	First-year undergraduates (U)		First-year graduates (G)		All first-year Applicants (U + G)	
	Baseline mean	Nonparametric estimates	Baseline mean	Nonparametric estimates	Baseline mean	Nonparametric estimates
	(1)	(2)	(3)	(4)	(5)	(6)
<i>Panel A. Outcome in year t of application (2008 and 2009 applicants)</i>						
Enrolled in college in t	0.734	0.049*** (0.015) 16,467 [23,672]	0.733	0.037** (0.017) 14,071 [16,883]	0.733	0.041*** (0.009) 40,555 [40,555]
Completed all first year credits in t (G)			0.468	0.047** (0.020) 12,372 [16,883]		
<i>Panel B. Outcome in year t + 1 (2008 and 2009 applicants)</i>						
Enrolled in college in t + 1	0.588	0.039*** (0.014) 23,672 [23,672]	0.638	0.049** (0.021) 10,477 [16,883]	0.609	0.049*** (0.015) 21,739 [40,555]
Enrolled in second year level in t + 1	0.376	0.037** (0.017) 14,982 [23,672]	0.429	0.046** (0.018) 15,100 [16,883]	0.398	0.044*** (0.014) 23,161 [40,555]
Completed first and second year credits in t + 1 (U)	0.239	0.022 (0.015) 15,405 [23,672]				
Obtained master's degree in t + 1 (G)			0.378	0.049** (0.022) 9,994 [16,883]		
<i>Panel C. Outcome in year t + 2 for undergraduate students (2008 applicants)</i>						
Enrolled in college in t + 2	0.509	0.044* (0.026) 7,437 [10,951]				
Enrolled in third year level in t + 2	0.302	0.019 (0.021) 9,065 [10,951]				
Obtained bachelor's degree in t + 2	0.255	0.021 (0.017) 10,951 [10,951]				

Notes: The table reports the estimated discontinuities in the college enrollment and student persistence rates of applicants entering the first year of an undergraduate or graduate degree program, at the income eligibility thresholds between level 0 (fee waiver only) and level 1 (fee waiver plus an annual cash allowance of 1,500 euros) grants. Each coefficient comes from a separate regression where the running variable is the applicant's relative income-distance to the eligibility threshold. The window size for the relative income-distance to cutoff is ± 0.16 . Columns 1, 3, and 5 report the mean value of the dependent variable above the income eligibility thresholds. The nonparametric estimates use the edge kernel, with bandwidths computed following Imbens and Kalyanaraman (2012). Optimal bandwidths are computed separately for each outcome and sample. Robust standard errors are shown in parentheses. The number of observations used in the nonparametric estimations are reported below the standard errors. Full sample sizes are in square brackets.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

enrollment rate of 6.7 percent from the baseline and an increase in the persistence rate of 6.6 percent. To gain a more complete picture of the progress of first-year applicants through college, we analyze whether they proceed to the next level as opposed to repeating the first year or dropping out of college. Our results suggest that financial aid has a positive and significant 3.7 percentage point impact on the